

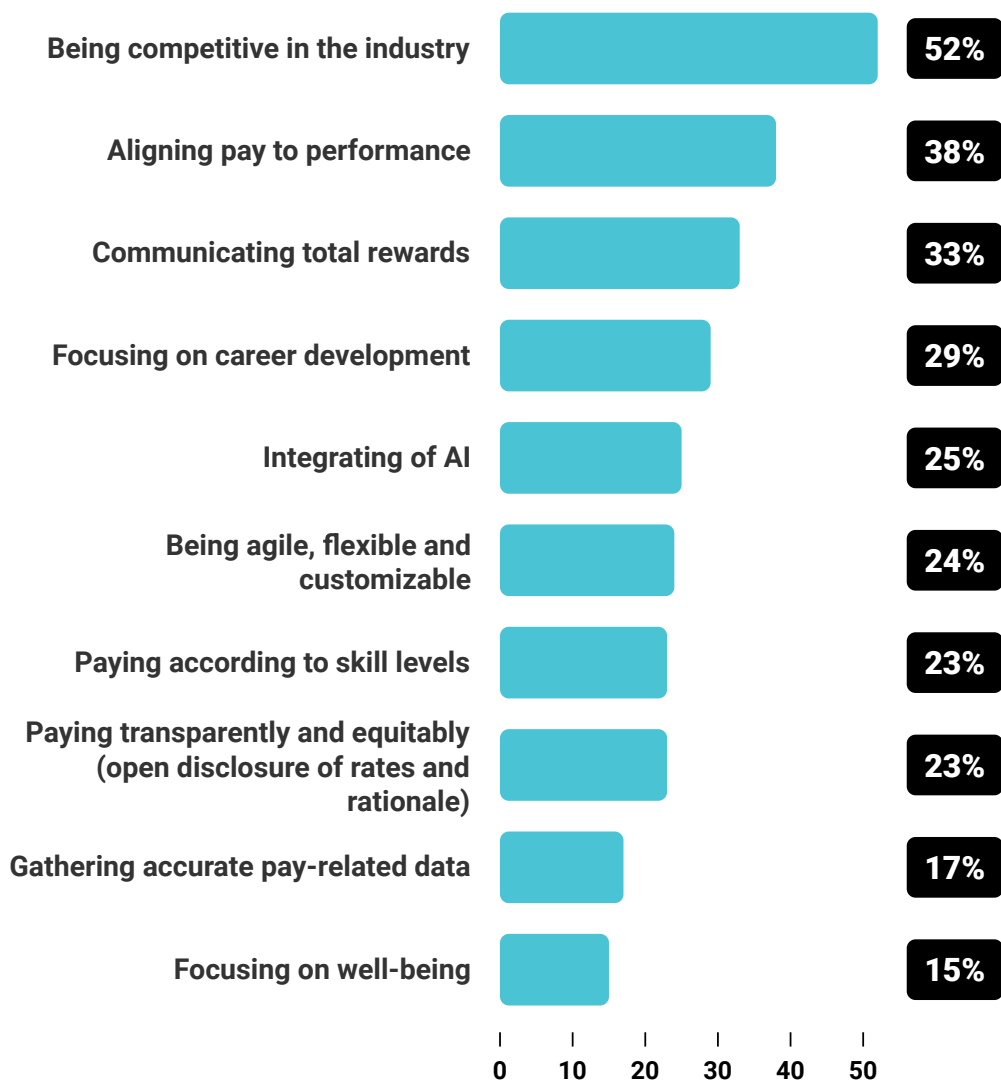
Preparing for the Future of Compensation and Total Rewards

The role of compensation is evolving beyond pay administration to become a strategic driver of workforce attraction, retention, and organizational performance. At the same time, advances in AI are creating new opportunities to improve compensation decisions. However, realizing these benefits will require organizations to balance innovation with responsible governance and human oversight.

Finding: Remaining competitive within the industry is the top compensation priority over the next two years

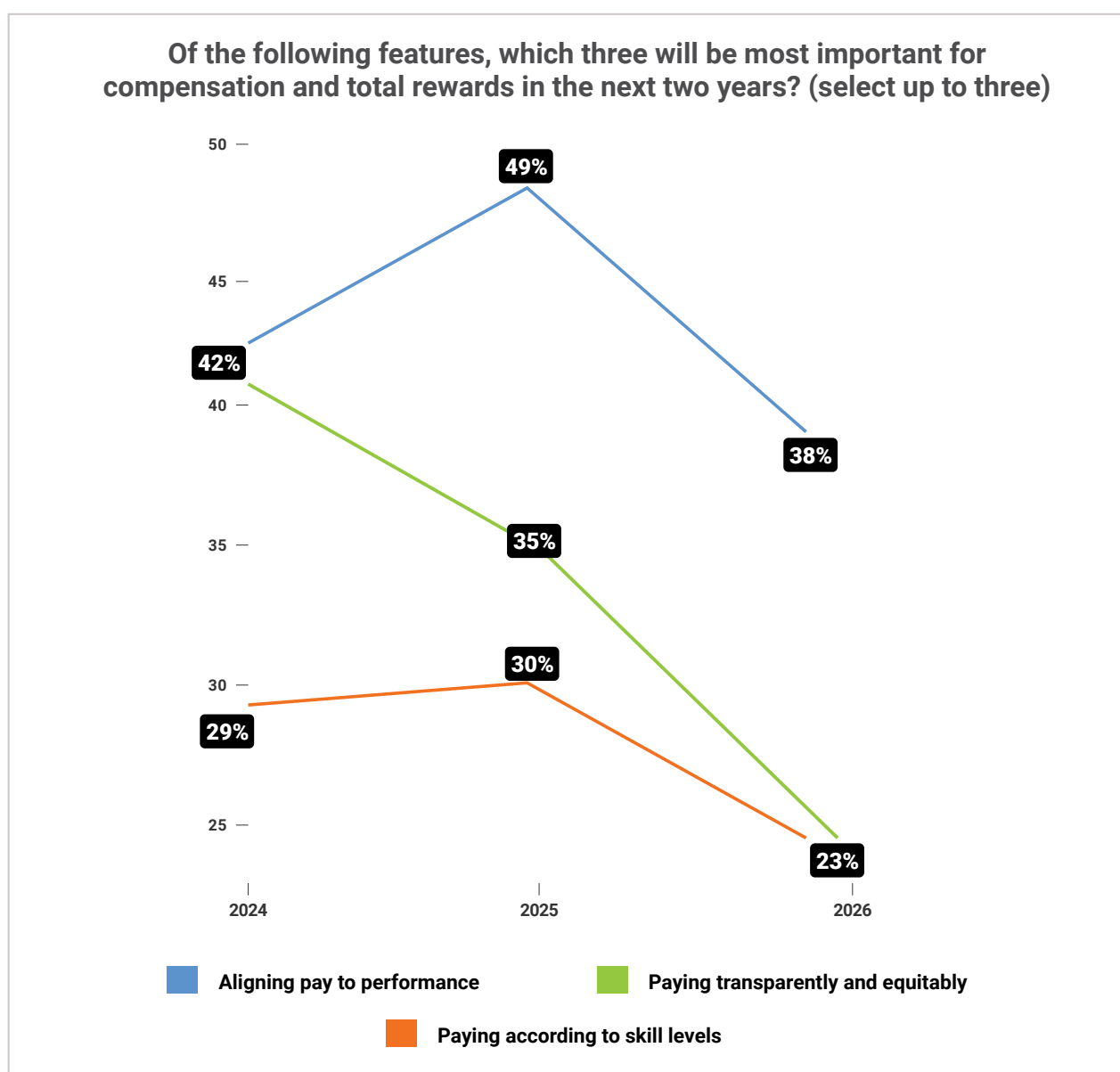
Organizations expect compensation and total rewards to become increasingly strategic over the next two years. Their top priorities are remaining competitive within the industry (52%), aligning pay to performance (38%), communicating the value of total rewards (33%), and supporting career development (29%).

Of the following features, which three will be most important for compensation and total rewards in the next two years? (select up to three)



Longitudinal analysis: Aligning pay to performance remains a leading future priority

Aligning pay to performance remains one of the highest future priorities, increasing from 42% in 2024 to 49% in 2025 before moderating to 38% in 2026. In contrast, paying transparently and equitably declined sharply from 42% to 23%, suggesting that organizations increasingly view pay transparency as an established business practice rather than a future priority. Meanwhile, paying according to skill levels remained relatively stable (29% in 2024 to 23% in 2026), indicating continued interest but less urgency than performance alignment.



Note on Methodology: Results from 2022 and 2023 are excluded from the longitudinal comparison because respondents could select up to four priorities, compared with up to three in later years. Integrating AI was introduced as a response option in 2026.



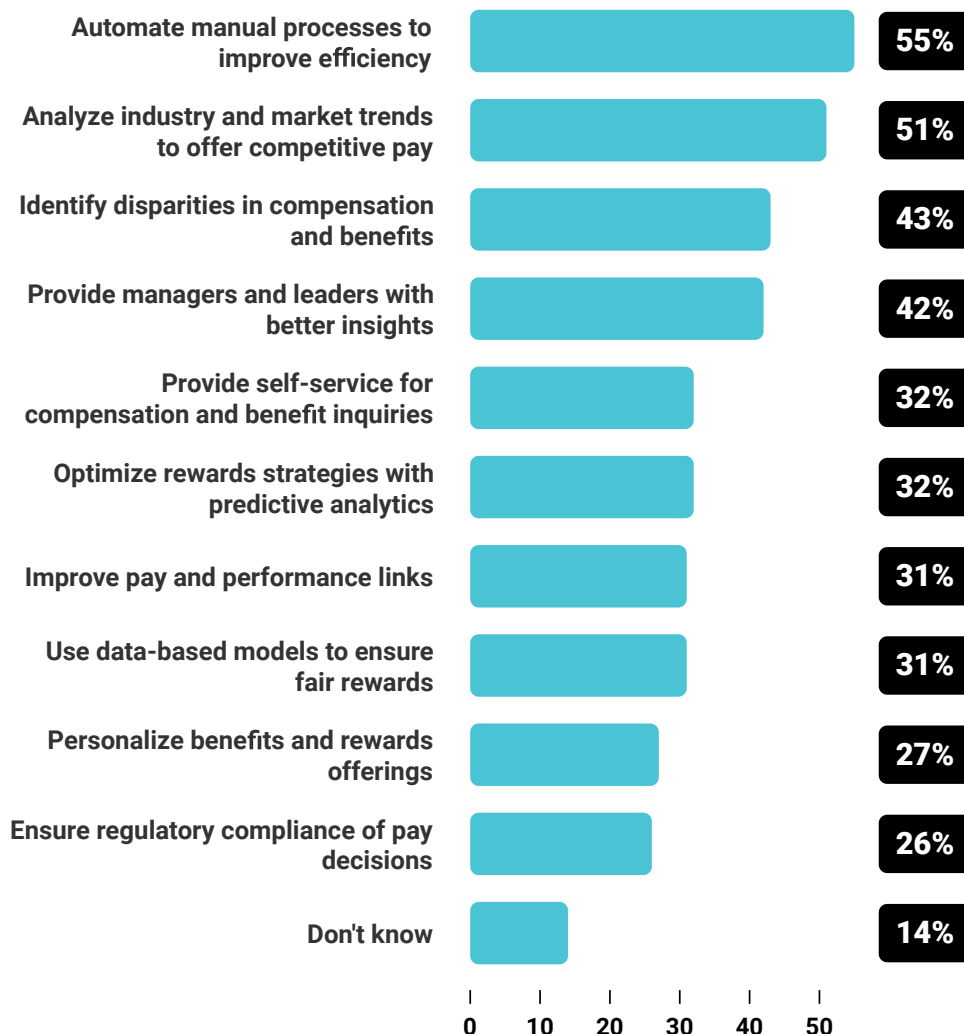
Finding: Organizations see the greatest opportunity for AI in automating compensation processes

Organizations recognize AI's potential to improve the efficiency and effectiveness of compensation management. The greatest perceived opportunity is automating manual processes (55%), followed by analyzing industry and market trends to support competitive pay (51%), identifying compensation disparities (43%), and providing managers with better decision-making insights (42%). However, 14% of respondents are unsure where AI would provide the greatest benefit, suggesting that while interest in AI is growing, many organizations are still developing a clear vision for how it can create value within compensation and total rewards.

Differences by organizational size

Organizations of all sizes recognize opportunities for AI, but larger organizations place greater emphasis on more advanced applications. Compared with small organizations, they are more likely to see value in identifying compensation disparities, providing managers with better decision-making insights, and using predictive analytics to optimize rewards. Small organizations are comparatively more likely to be uncertain about where AI can create value, suggesting they are earlier in their AI adoption journey.

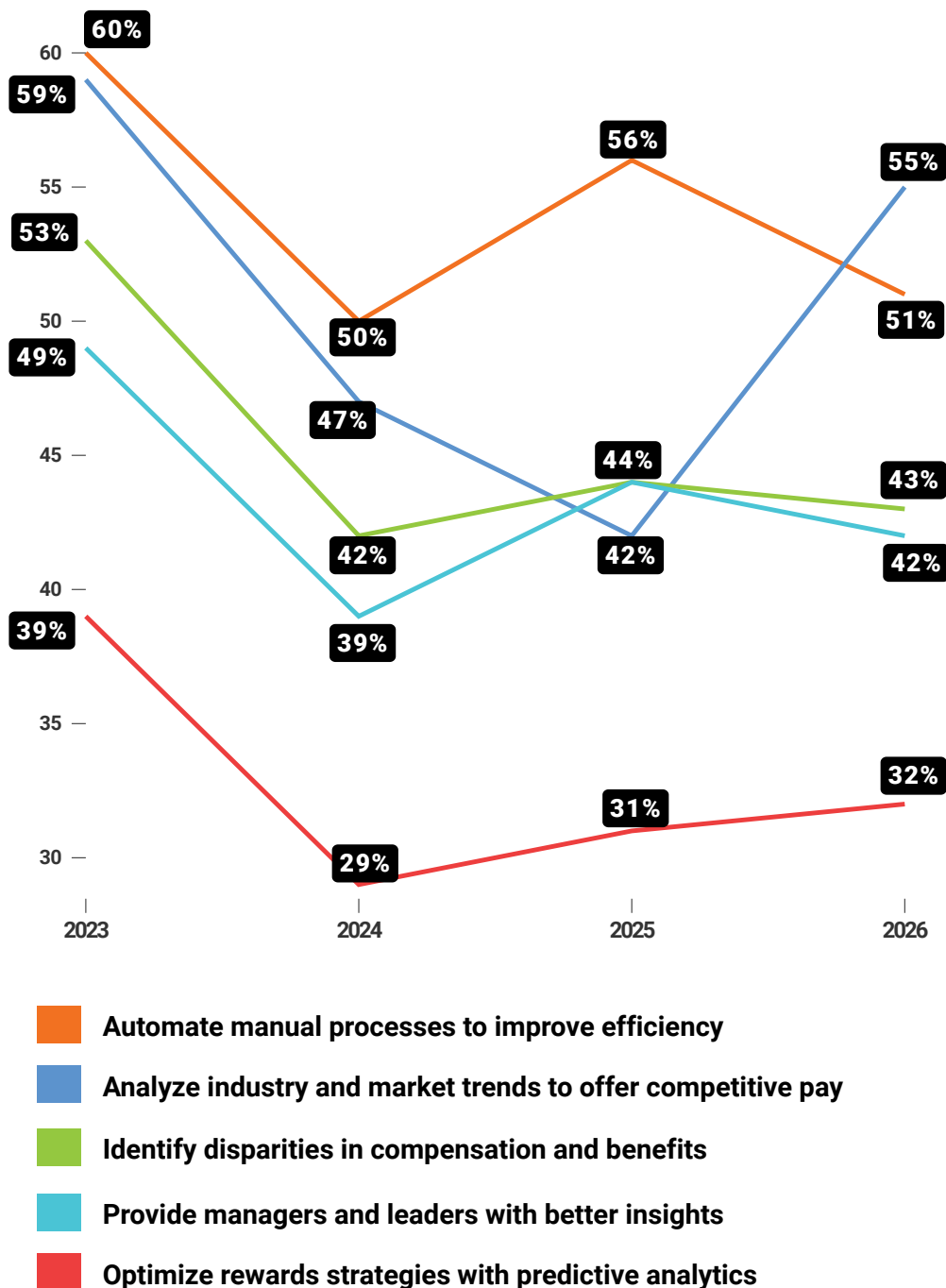
In which of the following areas would the use of artificial intelligence (AI) most benefit the compensation and total rewards in your organization? (select all that apply)



Longitudinal analysis: Organizations prioritize AI for process automation and market trend analysis over direct employee-facing personalization or predictive modeling

The perceived utility of AI in total rewards centers predominantly on operational efficiency and external market analysis. Automating manual processes to improve efficiency experienced a rebound to 55% (2026) after declining from 59% (2023) to 47% (2024) and 42% (2025). Analyzing industry and market trends for competitive pay leads AI applications, standing at 60% and settling at 51% in 2026.

In which of the following areas would the use of artificial intelligence (AI) most benefit the compensation and total rewards in your organization? (select all that apply)



Note on Methodology: AI application questions were introduced in the 2023 survey. Phrasing in earlier iterations cited "Provide managers and leadership with better insights," which was updated to "Provide managers and leaders with better insights" in 2026.

HRRI Strategic Recommendations

Based on our research consider the following suggestions:

- **Develop a forward-looking compensation strategy.**
Organizations expect compensation to play an increasingly strategic role in attracting, retaining, and motivating talent. Review your compensation strategy regularly to ensure it supports changing business priorities, workforce expectations, and labor market conditions. Consider how compensation, career development, and total rewards work together to create a compelling employee value proposition that remains competitive over time.
- **Strengthen the connection between pay and performance.**
Aligning pay to performance continues to be one of organizations' highest future priorities. Review how performance outcomes influence compensation decisions and ensure managers have clear, consistent guidelines for recognizing individual and team contributions. Regularly evaluate whether performance-based rewards reinforce the behaviors and results that support organizational success.
- **Start with practical AI applications that improve efficiency.**
Organizations see the greatest opportunity for AI in automating manual processes, analyzing market trends, and supporting compensation decisions. Focus initial AI investments on routine, high-value activities such as market pricing, salary benchmarking, reporting, and compensation analysis before expanding into more advanced applications. Starting with practical use cases can help build confidence while delivering measurable efficiency gains.
- **Maintain human oversight when using AI.**
While AI can improve the speed and quality of compensation analysis, compensation decisions should continue to involve human judgment. Establish clear governance for AI use by defining where AI supports decision-making, validating outputs with reliable data, and ensuring managers retain responsibility for final compensation decisions. This approach can help improve consistency while reducing the risk of bias or unintended outcomes.
- **Build organizational readiness for AI in compensation.**
Many organizations are still determining where AI can create the greatest value, particularly smaller organizations. Before implementing new AI tools, assess your organization's readiness by identifying priority use cases, evaluating data quality, developing internal capabilities, and providing training for HR and compensation professionals. A phased approach will help organizations adopt AI more effectively while supporting long-term success.